SECTOR BRIEF

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German residential construction: activity, pipeline, financing and material costs

Germany · 2026-11-13

Prepared for **Rhein-Main Wohnbau GmbH (fictional)** · 2026-11-13 · Levente Frigyes
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FICTIONAL SAMPLE · ALL COMPANY DATA IN THIS DOCUMENT IS INVENTED FOR DEMONSTRATION

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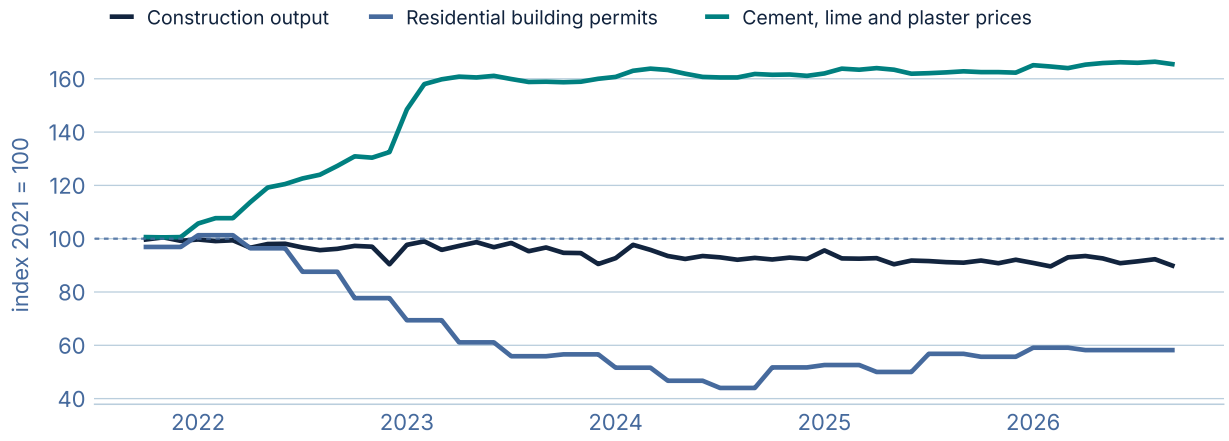
EUR 2.9m
INTEREST ON PROJECT LOANS, A YEAR
60m at 4.84% all-in

EUR 0.60m
EXTRA INTEREST PER 1 PP RISE
= 6.7% of EBITDA

89.9
CONSTRUCTION OUTPUT (2021 = 100)
−1.2% on a year · lower than 98% of the last 10 years

58.2
RESIDENTIAL BUILDING PERMITS (2021 = 100)
+16.4% on a year · lower than 72% of the last 10 years

Output, permits and cement prices on one base (index 2021 = 100)



Source: [S1] Eurostat, data to 2026-09-01; [S2] Eurostat, data to 2026-04-01; [S5] Eurostat, data to 2026-09-01 · full references at the end

Quarterly permits are held flat within each quarter.

KEY POINTS

- **Activity is close to a ten-year low.** Construction output is 89.9 (2021 = 100), −1.2% on a year and lower than in 98% of the last ten years' months.
- **The pipeline is turning, slowly.** Residential permits are +16.4% on a year but still −12.1% against their five-year average. Permits come a year or more before construction work, so volumes stay low in the coming months.
- **Financing is the brake.** New mortgages cost 4.09% (+0.35 pp on a year) and the 10-year Bund yield, 3.47%, is the highest in ten years. Sales plans should test prices and sales pace at today's rates.
- **For the company, each 1 pp on its EUR 60m of floating project loans costs EUR 0.60m a year** (6.7% of EBITDA); interest runs at about EUR 2.9m a year today.
- **Material costs stay high:** cement, lime and plaster prices are 10.0% above their five-year average and +1.7% on a year, so margins depend on the price clauses in contracts.

Where the indicators stand

INDICATOR	UNIT	LATEST	PERIOD	ON THE YEAR	VS 5-YEAR AVG	10-YEAR RANK	3-MONTH TREND
Construction output	index 2021 = 100	89.9	Sep 2026	−1.2%	−4.8%	2%	Flat
Residential building permits	index 2021 = 100	58.2	Q2 2026	+16.4%	−12.1%	28%	Rising
New mortgage rate	% a year	4.09	Sep 2026	+0.35 pp	+0.65 pp	97%	Rising
10-year Bund yield	% a year	3.47	Sep 2026	+0.78 pp	+1.33 pp	100%	Rising
Cement, lime and plaster prices	index 2021 = 100	165.5	Sep 2026	+1.7%	+10.0%	97%	Flat
3-month interbank rate	% a year	2.64	Sep 2026	+0.61 pp	+0.42 pp	80%	Rising

Source: [S1] Eurostat, data to 2026-09-01; [S2] Eurostat, data to 2026-04-01; [S3] European Central Bank, data to 2026-09-01; [S4] FRED, data to 2026-09-01; [S5] Eurostat, data to 2026-09-01; [S6] FRED, data to 2026-09-01 · full references at the end

10-year rank: share of the last ten years' months at or below the latest value (near the maximum = the highest level in ten years). 3-month trend: the last three months against the three before (Flat within ±2%, or ±0.1 pp for rates). Annual figures are the IMF's.

HOW THE INDICATORS CONNECT

Permits are the order book of the industry: they come a year or more before construction work. Mortgage rates decide how many buyers can finance a home, and the 10-year government yield sets the floor for those rates. Material prices decide the margin on work already contracted. Read the page-1 chart from left to right: costs rose first, permits fell next, and output follows permits with a delay.

HOW RATES AND THE EXCHANGE RATE REACH THE RESULT

Floating-rate debt reprices with the reference rate, so each 1 pp move changes annual interest by EUR 0.60m (6.7% of EBITDA).

3-MONTH INTERBANK RATE: WHY IT MATTERS AND WHERE IT STANDS

The 3-month rate is the reference for the company's floating project loans. Today 2.64%, against a five-year average of 2.22 and a five-year range of (0.58) to 3.97. Only 20% of the last ten years' months were higher.

10-YEAR BUND YIELD: WHY IT MATTERS AND WHERE IT STANDS

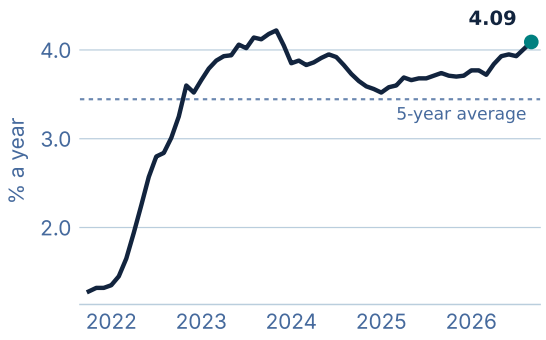
The 10-year Bund yield is the base for long-term mortgage and project-loan pricing. Today 3.47%, against a five-year average of 2.14 and a five-year range of (0.38) to 3.47. It is at its highest level in ten years.

NEW MORTGAGE RATE: WHY IT MATTERS AND WHERE IT STANDS

The mortgage rate decides how many households can finance a new home. Today 4.09%, against a five-year average of 3.44 and a five-year range of 1.28 to 4.22. Only 3% of the last ten years' months were higher.

The indicators over five years

New mortgage rate (% a year)



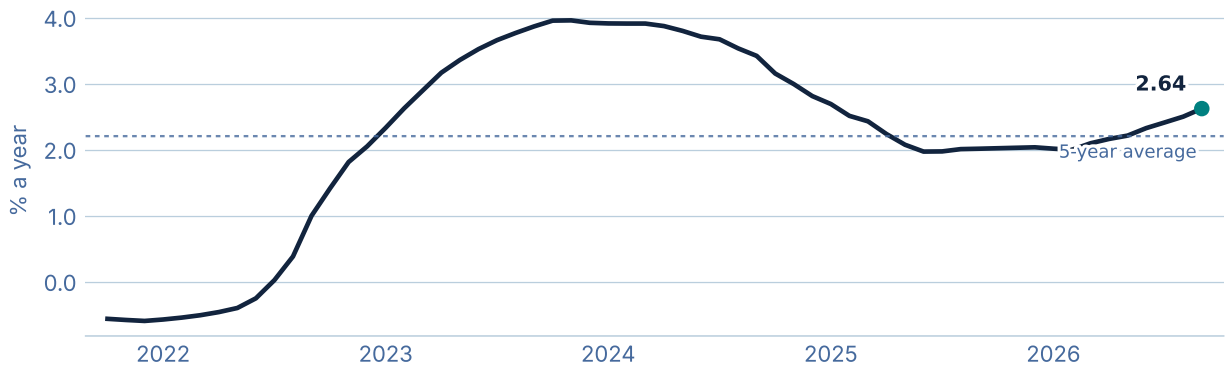
Source: [S3] European Central Bank, data to 2026-09-01 · full references at the end

10-year Bund yield (% a year)



Source: [S4] FRED, data to 2026-09-01 · full references at the end

3-month interbank rate (% a year)



Source: [S6] FRED, data to 2026-09-01 · full references at the end

What it means for the company's result

The company has EUR 60m of floating-rate debt. The figures below are the arithmetic effect of rate and exchange-rate moves on the annual result; negative means worse.

Effect on the annual result (EUR m)

MOVE	EFFECT (EUR M)	% OF EBITDA
Rate down 1.0 pp	+0.60	+6.7%
Rate up 1.0 pp	−0.60	−6.7%

Drivers to watch

- Monthly permits and new orders from Destatis, the earliest signs of a recovery in volumes
- ECB policy and the 10-year Bund yield, which set mortgage and project-loan rates
- Government housing support and energy-efficiency rules for new buildings
- Labour availability and wage agreements in construction

Decisions this brief supports

- Timing of new project starts and land purchases
- Sales price and sales pace assumptions in project appraisals
- Price-adjustment clauses in contracts with subcontractors and suppliers

HOW TO READ THIS BRIEF

Every figure is public data (numbered sources at the end, with the date downloaded), arithmetic on the company's own inputs (marked as client input), or an official projection labelled as such. Statistics use monthly averages; rates change in percentage points (pp), prices in percent. Rate and currency risk management is outside the scope of this brief; discuss it with the company's bank.

HOW TO READ THE NUMBERS IN THIS BRIEF

10-year rank: the share of the last ten years' months at or below today's level (a rank near the maximum means a ten-year high). vs 5-year average: how far today's level is from the average of the last five years. 3-month trend: the last three months against the three before. Volatility: how much the price typically moves in a year, from its monthly changes over the last three years.

CONSTRUCTION OUTPUT: WHY IT MATTERS AND WHERE IT STANDS

Output shows how much construction work is actually done each month. Today 89.9 index 2021 = 100, against a five-year average of 94.5 and a five-year range of 89.6 to 100.5. 98% of the last ten years' months were higher. It typically moves 7% in a year.

WHERE THE DATA COMES FROM

European Central Bank, Eurostat, FRED; the numbered list with addresses and download dates is on the last page.

Sources

[S1] Eurostat · Germany: production in construction, volume index (2021 = 100, seasonally adjusted) (sts_copr_m?geo=DE&unit=I21&s_adj=SCA&indic_bt=PRD&nace_r2=F) · 2026-09-01 · https://ec.europa.eu/eurostat/api/dissemination/statistics/1.0/data/sts_copr_m?format=JSON&lang=EN&geo=DE&unit=I21&s_adj=SCA&indic_bt=PRD&nace_r2=F · accessed 2026-11-13 · series page: https://ec.europa.eu/eurostat/databrowser/view/sts_copr_m

[S2] Eurostat · Germany: building permits, residential useful floor area (2021 = 100, seasonally adjusted) (sts_cobp_q?geo=DE&unit=I21&s_adj=SCA&indic_bt=BPRM_SQM&cpa2_1=CPA_F41001) · 2026-04-01 · https://ec.europa.eu/eurostat/api/dissemination/statistics/1.0/data/sts_cobp_q?format=JSON&lang=EN&geo=DE&unit=I21&s_adj=SCA&indic_bt=BPRM_SQM&cpa2_1=CPA_F41001 · accessed 2026-11-13 · series page: https://ec.europa.eu/eurostat/databrowser/view/sts_cobp_q

[S3] European Central Bank, Data Portal (SDMX) · Germany: interest rate on new loans to households for house purchase (ECB MFI interest rate statistics) (MIR/M.DE.B.A2C.A.R.A.2250.EUR.N) · 2026-09-01 · https://data-api.ecb.europa.eu/service/data/MIR/M.DE.B.A2C.A.R.A.2250.EUR.N?format=csvdata · accessed 2026-11-13 · series page: https://data.ecb.europa.eu/data/datasets/MIR

[S4] FRED, Federal Reserve Bank of St. Louis · Germany: 10-year government bond yield (OECD) (IRLTLT01DEM156N) · 2026-09-01 · https://fred.stlouisfed.org/graph/fredgraph.csv?id=IRLTLT01DEM156N · accessed 2026-11-13 · series page: https://fred.stlouisfed.org/series/IRLTLT01DEM156N

[S5] Eurostat · Germany: producer prices, cement, lime and plaster (domestic market, 2021 = 100) (sts_inppd_m?geo=DE&unit=I21&s_adj=NSA&nace_r2=C235) · 2026-09-01 · https://ec.europa.eu/eurostat/api/dissemination/statistics/1.0/data/sts_inppd_m?format=JSON&lang=EN&geo=DE&unit=I21&s_adj=NSA&nace_r2=C235 · accessed 2026-11-13 · series page: https://ec.europa.eu/eurostat/databrowser/view/sts_inppd_m

[S6] FRED, Federal Reserve Bank of St. Louis · Germany: 3-month interbank rate (OECD) (IR3TIB01DEM156N) · 2026-09-01 · https://fred.stlouisfed.org/graph/fredgraph.csv?id=IR3TIB01DEM156N · accessed 2026-11-13 · series page: https://fred.stlouisfed.org/series/IR3TIB01DEM156N

Important information

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